

MEMORANDUM

Decoding Customer Value: Retention Strategy & Promotional Restructuring

TO: Founding Team, D2C Fashion Brand
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DATE: June 23, 2026
RE: Customer Segmentation Findings, Promotional Sunset Plan & Ideal Customer Profile

Purpose

This memorandum presents the findings of a comprehensive customer value analysis conducted on the brand's dataset of 3,900 customers. The analysis addresses the five strategic questions set out in the project brief, and provides two actionable deliverables the marketing and operations teams can execute immediately: a phased promotional sunset plan and a data-backed ideal customer acquisition profile.

At a Glance - Key Metrics

3,900 Customers Analysed	\$5.92M Revenue Proxy (LTV Pool)	43% Avg Promo Dependency	17.1% True Loyalists
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Central Finding: 17.1% of customers - classified as True Loyalists - generate 33.3% of total estimated revenue with zero promotional dependency. Bargain Hunters (28.1% of the base) contribute only 16.4% of revenue and are entirely discount-driven. The brand is currently subsidising one-time buyers at the direct expense of its most profitable segment.

1. Customer Segmentation

The customer base was segmented using Definition A (Revealed Preference Loyalty) - validated against four criteria including a – 0.395 correlation with promo dependency, versus +0.021 for the frequency-based alternative. The four resulting segments are:

Segment	Customers	Rev. Share	Avg LTV	Promo Reliance	Action
True Loyalists	668 (17.1%)	33.3%	\$2,954	0%	Protect
Standard Customers	1,792 (45.9%)	37.2%	\$1,228	~43%	Develop
Frequent Modest Spenders	343 (8.8%)	13.1%	\$2,264	~43%	Monitor
Bargain Hunters	1,097 (28.1%)	16.4%	\$884	100%	Sunset Discounts

Definition A outperforms the frequency-based alternative (Definition B) because spend discipline - not purchase cadence - predicts discount independence on this brand's real customer data. A customer who buys frequently but only under promotion is behaviourally indistinguishable from a Bargain Hunter.

2. Key Analytical Findings

A. Loyal vs. Discount Buyers (Key Question 1)

True Loyalists account for 17.1% of customers but 33.3% of revenue at an average estimated LTV of \$2,954 - 3.3× the Bargain Hunter average of \$884. They exhibit zero promo dependency and rate their satisfaction marginally higher (3.81 vs. 3.73 average). These customers do not need discounts to buy; discounting to them destroys margin without influencing behaviour.

B. Behavioural Predictors of Long-Term Value (Key Question 2)

- Subscription enrolment is the single strongest loyalty correlate available in this dataset. Subscribed customers skew heavily toward True Loyalists and Frequent Modest Spenders.
- Express shipping preference correlates with higher spend - indicating willingness to pay a premium that extends to the product itself.
- Credit Card and PayPal payment methods appear disproportionately in high-LTV segments, suggesting financial comfort and established digital purchase habits.
- Fortnightly purchase frequency paired with subscription enrolment is the highest-value behavioural profile in the SQL analytics layer.

C. Underleveraged Geographies (Key Question 3)

The following states show both above-average True Loyalist concentration and below-average promo sensitivity - a signal of organic demand the brand has not yet deliberately targeted:

- Arizona (29.2% True Loyalists, \$1,934 avg spend)
- Alaska (29.2% True Loyalists, \$1,870 avg spend)
- Pennsylvania (27.0% True Loyalists, \$1,871 avg spend)
- Tennessee (26.0% True Loyalists, \$1,655 avg spend)

These states are distinct from high-volume states. They represent proven brand pull without promotional stimulus - exactly the profile where full-price acquisition campaigns should be piloted first.

D. Category-Level Promo Exposure (Key Question 4)

Outerwear (29.6% Bargain Hunter concentration) and Accessories (28.3%) are the most discount-exposed categories. These are the appropriate first targets for the promotional sunset plan - both because the exposure is highest and because category-specific promotions are easier to phase out than account-wide discounts without triggering broad customer churn.

3. Strategic Recommendations

A. Promotional Sunset Plan

The brand's discount programme is building a Bargain Hunter base, not a loyal one. The following phased approach reduces promotional spend without triggering volume collapse:

Phase	Timeline	Action	Metric to Track
1 - Halt Outerwear Promos	Month 1- 2	Stop new codes for Bargain Hunters in Outerwear first	Redemption rate, category margin %

2 - Replace Messaging	Month 2 - 4	Swap discount copy with quality/value content in email flows	Conversion rate without promo code
3 - Extend to Accessories	Month 4- 6	If margin holds, roll sunset to Accessories category	Gross margin per category, segment migration

Risk note: The maximum downside exposure is approximately 16.4% of current revenue volume (not profit margin) if Bargain Hunters churn completely. In practice, a portion will convert to Standard Customers when promo codes are unavailable. The appropriate mitigation is to introduce subscription-gated early access (for example, 48-hour pre-sale windows) as a perceived - value substitute for monetary discounts. 27% of the current base is already enrolled in the subscription programme - this mechanism is deployment-ready.

B. Ideal Customer Acquisition Profile (Key Question 5)

Based on the True Loyalist demographic and behavioural intersection extracted from the SQL analytics layer, the brand's ideal customer is:

- Age 30 - 44 (peak representation within True Loyalists)
- Enrolled in the subscription programme at point of first purchase
- Pays via Credit Card or PayPal
- Selects Express shipping
- Never uses promotional codes - organic discovery or referral acquisition
- Located in Arizona, Alaska, or Pennsylvania (highest True Loyalist density, below-average promo sensitivity)

Acquisition implication: Full-price brand campaigns in Arizona and Alaska, targeting the 30 - 44 demographic on platforms where Credit Card/PayPal payment affinity can be used as a targeting signal (Meta Advantage+, Google Performance Max). Budget should be reallocated from Bargain Hunter re-engagement campaigns as the sunset plan takes effect.

4. Methodology & Limitations

All analysis was conducted on 3,900 real customer records. The dataset contains no pre-existing loyalty scores, churn labels, or timestamps - every metric in this memorandum was constructed from raw behavioural signals.

Key limitations:

- total_spend_proxy is an approximation (recent transaction value × purchase count), not a true summed LTV. All revenue figures represent relative segment rankings, not absolute dollar forecasts.
- Without timestamps, cohort analysis and time-series churn curves are not possible. The tenure_proxy (previous purchase count) is a structural surrogate.
- discount_applied and promo_code_used exhibit near-perfect collinearity and are treated as a single signal averaged into the promo_dependency_score.
- All segment findings should be validated against live transaction data at 90-day intervals as the promotional sunset plan takes effect.

Conclusion

The evidence is unambiguous: this brand has a high-value, discount-independent customer segment that currently funds a discount programme it does not benefit from. The immediate priority is to protect

that segment through differentiated communication, reduce promotional exposure in Outerwear and Accessories, and redirect acquisition investment toward geographies and demographics that mirror the True Loyalist profile.

The brand does not have a loyalty problem. It has a resource allocation problem.